

Japan Technology: IT Services: BayCurrent/SHIFT/Money Forward read-across: Hiring strategies for the AI era

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Within this note we summarize the takeaways from our recent meetings with three Not Covered companies and the read-across for our coverage—**BayCurrent Consulting** (strategy/IT consulting), **SHIFT** (software testing), and **Money Forward** (cloud accounting/HR software for mid-sized and small businesses). See our recent reports for more details on each company’s Nov 2025-Feb 2026 results: [BayCurrent/SHIFT/Money Forward](#).

The three companies are regarded within the equity market as related to AI disruption, and their share price performance was relatively muted within the sector prior to their results announcements. We highlight market concerns around the impact of AI disruption on software testing (SHIFT’s main business) and SaaS (Money Forward). SHIFT has changed its previous mass hiring strategy to one of curbing hiring, while Money Forward is already curtailing its hiring via operational efficiency gains from AI utilization, with a positive impact on earnings starting to materialize. For BayCurrent, which specializes in consulting, the penetration of AI has created new demand for AI implementation support consulting, and the company is stepping up hiring to meet this growing demand.

Each company is shifting to what it considers to be its optimal hiring strategy at present—albeit with differences among the three—driven by the penetration of generative AI. In the IT services industry, where the shortage of engineers is becoming more acute, we are focusing on companies that are shifting to hiring and M&A strategies that emphasize efficiency and productivity improvements. From this perspective, we have a positive view of companies like Fujitsu (Buy), which has abolished its practice of mass new graduate hiring and is focusing on generative AI-driven development. We will be watching for commentary from sector companies in their upcoming Jan-Mar earnings announcements.

BayCurrent Consulting (6532.T) (see [report](#) for recent results)

Three points of focus: hiring trends, AI projects, and demand trends from major clients. First, while consultant hiring is being curbed globally due primarily to the penetration of generative AI, competition for consultant hiring in Japan remains intense. This is likely due to Japan-specific factors, such as on-site labor shortages caused by a declining working population, in addition to the emergence of new consulting needs related to AI implementation. BayCurrent is further strengthening its hiring and plans to hire 710 new graduates (vs. 512 in FY2/26) and 1,560 mid-career professionals (vs. 1,386) in FY2/27 (includes non-consultants). The

company is expanding its regional satellite offices and focusing on secure top talent in regional Japan.

Second, consulting projects related to generative AI are on an upward trend. According to the company, about 50-60% of all its projects are AI-related, with strong demand primarily for data preparation for utilizing AI, business process re-engineering (BPR) using AI, launching AI-related organizations, and strategies for hiring AI talent. AI adoption is still in its initial phase, and we expect it to serve as a new driver of market expansion for the next several years.

Third, business for core clients is expanding, driven by a larger sales team and personnel reassignments. The revenue weighting from core clients for February was about 74% (+1.3 pp yoy), per the company, and with the weighting for the top 5 and top 10 clients up by +4.1 pp yoy and +3.6% pp yoy, respectively. According to BayCurrent, (1) one major automotive client is showing signs of curbing IT investment in response to muted earnings, but this has been offset by expansion into other automotive clients, and the impact on company-wide earnings is minor, and (2) business with other major clients is generally solid, with no negative rebound impact from specific projects anticipated for FY2/27.

SHIFT (3697.T) (see [report](#) for recent results)

Two points of focus: hiring policy and pricing model. First, SHIFT is revising its previous mass hiring strategy and will switch to a hiring policy focused on improving productivity, concentrating future hiring in high-value-added fields such as AI engineers. The background for this change in hiring policy is the growing reality that generative AI could replace some demand for software testing in the future. To prepare for the risk of AI disruption, the company plans to: (1) emphasize AI skills for both new graduates and mid-career hires and expand its AI business with a focus on AI modernization, and (2) as a general rule, stop hiring for personnel in areas like the back office, with plans to shift some of these personnel to profit centers such as Business Process as a Service (BPaaS). In FY8/26, it plans to curb hiring by 440 people compared to its internal plan, mainly in profit centers, and the company expects the full-year hiring number to be near the lower end of its guidance range of 2,500-2,700 people. On a quarterly basis, the number of hires in 1Q was 678. According to the company, 2Q and 3Q will be at a similar level, with a plan to decrease the number of hires significantly from 4Q. The company stated that it will continue a similar policy in FY8/27 and anticipates a gradual increase in the total number of employees on a net basis.

Second, the company is gradually changing its pricing structure away from a business model based on person-month pricing. Specifically, for project pricing, it is shifting toward proposing fixed prices based on the total volume of testing. However, looking at the industry as a whole, we believe the penetration of generative AI could intensify downward pressure on software testing prices. The company shares this view and has a policy to lower project prices to capture a larger volume of work.

Money Forward (3994.T) (see [report](#) for recent results)

One point of focus: customer acquisition efficiency and AI utilization. The CAC payback period (the period required to recover the cost of customer acquisition with profits) for the corporate business within the Business segment in 1Q11/26 (Dec-Feb) was 14 months, continuing its trend of improvement both yoy and qoq (vs. 18-19

months in the same period of the previous year and 15 months in the previous quarter). The improvement is mainly driven by business for SMEs, where sales via accounting firms and price hikes have been successful. While many SaaS companies have a direct sales structure and tend to hire large numbers of sales personnel to expand sales, Money Forward is intentionally curbing hiring with a focus on efficiency through AI utilization, and the growth rate of ARR per employee is on an accelerating trend (+12% yoy in 1Q). The company believes it can reduce hiring by about 100 people compared to its initial plan and thinks that efficiency improvements through AI utilization will continue going forward.

Exhibit 1: BayCurrent Consulting: Earnings

6532 BayCurrent	24/2	25/2	26/2	CoE 27/2E	25/2 3-5	6-8	9-11	12-2	26/2 3-5	6-8	9-11	12-2
Sales	93,909	116,056	148,332	190,000	27,297	26,797	29,431	32,531	34,307	34,155	37,474	42,396
(YoY)	23.4%	23.6%	27.8%	28.1%	25.7%	21.8%	22.7%	24.2%	25.7%	27.5%	27.3%	30.3%
(QoQ)	23.4%	23.6%	27.8%	28.1%	4.2%	-1.8%	9.8%	10.5%	5.5%	-0.4%	9.7%	13.1%
Sales By Revenue												
Finance	24,702	33,870	43,127		7,866	8,302	8,575	9,127	9,055	9,885	11,217	12,970
(YoY)	30.3%	37.1%	27.3%		49.5%	44.5%	34.3%	24.9%	15.1%	19.1%	30.8%	42.1%
(% of sales)	26.3%	29.2%	29.1%		28.8%	31.0%	29.1%	28.1%	26.4%	28.9%	29.9%	30.6%
Telecom/Media/Technology	29,506	37,127	45,485		8,382	8,470	9,344	10,931	11,156	10,340	11,155	12,834
(YoY)	10.7%	25.8%	22.5%		19.8%	18.3%	25.1%	38.7%	33.1%	22.1%	19.4%	17.4%
(% of sales)	31.4%	32.0%	30.7%		30.7%	31.6%	31.7%	33.6%	32.5%	30.3%	29.8%	30.3%
Others	39,701	45,059	59,719		11,049	10,025	11,512	12,473	14,096	13,930	15,102	16,591
(YoY)	30.2%	13.5%	32.5%		16.8%	10.2%	13.6%	13.4%	27.6%	39.0%	31.2%	33.0%
(% of sales)	42.3%	38.8%	40.3%		40.5%	37.4%	39.1%	38.3%	41.1%	40.8%	40.3%	39.1%
COGS	42,643	53,601	64,346		12,673	13,587	13,572	13,769	15,085	15,455	16,275	17,531
Gross Profit	51,266	62,455	83,986		14,624	13,210	15,859	18,762	19,222	18,700	21,199	24,865
(YoY)	20.9%	21.8%	34.5%		22.4%	14.1%	21.2%	28.0%	31.4%	41.6%	33.7%	32.5%
(QoQ)	54.6%	53.8%	56.6%		53.6%	49.3%	53.9%	57.7%	56.0%	54.8%	56.6%	58.6%
SG&A	17,048	19,845	33,069		5,170	4,537	5,242	4,896	7,017	7,645	9,278	9,129
(YoY)	36.3%	16.4%	66.6%		31.3%	11.1%	19.4%	5.6%	35.7%	68.5%	77.0%	86.5%
(QoQ)	18.2%	17.1%	22.3%		18.9%	16.9%	17.8%	15.1%	20.5%	22.4%	24.8%	21.5%
Other Income	1	5	14		1	2	0	2	2	8	2	2
Operating Profit	34,219	42,615	50,931	64,800	9,455	8,674	10,618	13,868	12,207	11,063	11,923	15,738
(YoY)	14.4%	24.5%	19.5%	27.2%	18.1%	15.8%	22.1%	38.3%	29.1%	27.5%	12.3%	13.5%
(QoQ)	36.4%	36.7%	34.3%	34.1%	34.6%	32.4%	36.1%	42.6%	35.6%	32.4%	31.8%	37.1%
EBITDA	35,312	43,489	52,125	66,500	9,671	8,935	10,812	14,071	12,455	11,299	12,155	16,216
(YoY)	17.1%	23.2%	19.9%	27.6%	19.2%	15.6%	18.4%	36.1%	28.8%	26.5%	12.4%	15.2%
(QoQ)	37.6%	37.5%	35.1%	35.0%	35.4%	33.3%	36.7%	43.3%	36.3%	33.1%	32.4%	38.2%
Financial and Equity Gains and Losses	-59	-69	57	100	-19	-21	-19	-10	-17	39	-9	44
Income Before Income Taxes	34,160	42,546	50,988	64,900	9,436	8,653	10,599	13,858	12,190	11,102	11,914	15,782
Income Tax	8,778	11,786	13,148	16,800	2,463	2,258	2,767	4,298	3,174	2,889	3,100	3,985
(% of Tax)	25.7%	27.7%	25.8%	25.9%	26.1%	26.1%	26.1%	31.0%	26.0%	26.0%	26.0%	25.3%
Non-controlling interests	0	0	0	0	0	0	0	0	0	0	0	0
Net Profit	25,382	30,760	37,840	48,100	6,973	6,395	7,832	9,560	9,016	8,213	8,814	11,797
(YoY)	15.8%	21.2%	23.0%	27.1%	19.7%	17.4%	23.9%	22.8%	29.3%	28.4%	12.5%	23.4%
(% of sales)	27.0%	26.5%	25.5%	25.3%	25.5%	23.9%	26.6%	29.4%	26.3%	24.0%	23.5%	27.8%

Exhibit 2: SHIFT: Earnings by business

(mn yen)	CoE				25/8				26/8			
3697 SHIFT	23/8	24/8	25/8	26/8E	9-11	12-2	3-5	6-8	9-11	12-2		
<P/L>												
Sales	88,030	110,627	129,819	150,000	30,174	31,514	33,724	34,407	34,845	37,190		
yoy	35.7%	25.7%	17.3%	15.5%	20.3%	15.7%	16.9%	16.7%	15.5%	18.0%		
qoq	35.7%	25.7%	17.3%	15.5%	2.3%	4.4%	7.0%	2.0%	1.3%	6.7%		
Gross Profit	29,944	35,360	45,016	51,800	10,024	11,181	11,836	11,975	11,319	12,780		
yoy	41.9%	18.1%	27.3%	15.1%	28.4%	27.7%	29.4%	24.1%	12.9%	14.3%		
% of sales	34.0%	32.0%	34.7%	34.5%	33.2%	35.5%	35.1%	34.8%	32.5%	34.4%		
SG&A	18,378	24,823	29,387	33,800	6,507	6,639	7,989	8,252	8,502	8,689		
yoy	29.5%	35.1%	18.4%	15.0%	8.6%	12.8%	18.0%	33.7%	30.7%	30.9%		
% of sales	20.9%	22.4%	22.6%	22.5%	21.6%	21.1%	23.7%	24.0%	24.4%	23.4%		
Labor Cost	9,003	12,530	15,906	18,000	3,612	3,724	4,266	4,304	4,330	4,334		
yoy	35.8%	39.2%	26.9%		34.7%	27.6%	26.6%	20.8%	19.9%	16.4%		
Hiring Cost	4,048	4,568	4,065		674	798	1,294	1,299	1,560	1,671		
yoy	7.2%	12.8%	-11.0%		-51.5%	-21.3%	-4.6%	61.0%	131.5%	109.4%		
Rents	941	1,465	1,598		364	377	430	427	410	445		
yoy	80.3%	55.7%	9.1%		-14.8%	9.0%	23.9%	23.8%	12.6%	18.0%		
Others	4,386	6,260	7,818		1,857	1,740	1,999	2,222	2,202	2,239		
Operating Profit	11,565	10,537	15,628	18,000	3,517	4,541	3,848	3,722	2,817	4,090		
yoy	67.3%	-8.9%	48.3%	15.2%	94.0%	58.2%	62.2%	6.9%	-19.9%	-9.9%		
% of sales	13.1%	9.5%	12.0%	12.0%	11.7%	14.4%	11.4%	10.8%	8.1%	11.0%		
M&A related costs	1,470	2,120	2,010	2,000					499	545		
Adjusted Operating Profit	13,035	12,657	17,600	20,000					3,316	4,635		
yoy	-	-2.9%	39.1%	13.6%					-5.7%	2.1%		
% of sales	14.8%	11.4%	13.6%	13.3%					9.5%	12.5%		
EBITDA	13,285	13,424	18,868		4,317	5,334	4,658	4,559	3,642	4,948		
yoy	58.7%	1.0%	40.6%		83.7%	50.7%	45.8%	5.0%	-15.6%	-7.2%		
% of sales	15.1%	12.1%	14.5%		14.3%	16.9%	13.8%	13.3%	10.5%	13.3%		
<KPI>												
Num. of engineers	10,676	11,766	13,274		11,926	12,003	12,712	13,274	13,687	14,400		
yoy	26.9%	10.2%	12.8%		6.5%	4.1%	8.4%	12.8%	14.8%	20.0%		
qoq	26.9%	10.2%	12.8%		1.4%	0.6%	5.9%	4.4%	3.1%	5.2%		
qoq: num	2,261	1,090	1,508		160	77	709	562	413	713		
Engineer Unit Price (000's)(Consolidated)					858	889	919	894	868	-		
yoy					10.3%	9.2%	10.1%	3.8%	1.2%	-		
qoq					-0.3%	3.6%	3.4%	-2.7%	-2.9%	-		
Engineer Unit Price (000's)(Unconsolidated)					1,014	1,064	1,085	1,084	1,035	-		
yoy					10.2%	13.0%	12.9%	8.5%	2.1%	-		
qoq					1.5%	4.9%	2.0%	-0.1%	-4.5%	-		
Monthly Customer Unit Price (000's)					5,733	5,799	5,859	5,914	5,971	6,256		
yoy					5.3%	5.4%	3.2%	3.0%	4.2%	7.9%		
qoq					-0.2%	1.2%	1.0%	0.9%	1.0%	4.8%		
Number of Monthly Customer (3 mth avg.)					1,990	2,078	2,145	2,165	2,177	2,250		
yoy					17.0%	17.9%	17.3%	16.2%	9.4%	8.3%		
qoq					6.8%	4.4%	3.2%	0.9%	0.6%	3.4%		
<Sales and profits by segment>												
I Software testing related services												
Sales	58,285	71,342	84,295		19,279	20,327	22,267	22,422	22,649	24,682		
yoy	39.1%	22.4%	18.2%		17.8%	16.3%	19.8%	18.6%	17.5%	21.4%		
% of sales	66.2%	64.5%	64.9%		63.9%	64.5%	66.0%	65.2%	65.0%	66.4%		
Gross Profit	20,777	23,858	31,052		6,779	7,806	8,254	8,213	7,694	8,872		
yoy	-	14.8%	30.2%		24.5%	29.4%	36.6%	29.6%	13.5%	13.7%		
% of sales	35.6%	33.4%	36.8%		35.2%	38.4%	37.1%	36.6%	34.0%	35.9%		
Operating Profit	14,511	16,166	21,518		4,760	5,756	5,647	5,355	4,263	5,468		
yoy	53.9%	11.4%	33.1%		41.5%	38.6%	45.4%	12.4%	-10.4%	-5.0%		
% of sales	16.5%	14.6%	16.6%		24.7%	28.3%	25.4%	23.9%	18.8%	22.2%		
II Software development related services												
Sales	27,089	35,008	40,128		9,696	10,037	10,071	10,324	10,471	10,842		
yoy	36.2%	29.2%	14.6%		19.2%	16.2%	12.7%	11.0%	8.0%	8.0%		
% of sales	30.8%	31.6%	30.9%		32.1%	31.8%	29.9%	30.0%	30.1%	29.2%		
Gross Profit	7,259	8,748	10,471		2,429	2,667	2,684	2,691	2,624	2,853		
yoy	-	20.5%	19.7%		24.0%	28.7%	19.2%	9.2%	8.0%	7.0%		
% of sales	26.8%	25.0%	26.1%		25.1%	26.6%	26.7%	26.1%	25.1%	26.3%		
Operating Profit	1,933	1,831	2,610		711	870	602	427	439	765		
yoy	69.7%	-5.3%	42.5%		197.5%	128.9%	35.3%	-44.3%	-38.3%	-12.1%		
% of sales	2.2%	1.7%	2.0%		7.3%	8.7%	6.0%	4.1%	4.2%	7.1%		
III Other proximate services												
Sales	6,457	8,237	10,741		2,321	2,560	2,761	3,099	3,227	3,223		
yoy	6.4%	27.6%	30.4%		48.0%	23.6%	18.2%	36.9%	39.0%	25.9%		
% of sales	7.3%	7.4%	8.3%		7.7%	8.1%	8.2%	9.0%	9.3%	8.7%		
Gross Profit	2,388	3,574	4,874		1,080	1,158	1,231	1,405	1,426	1,425		
yoy	-	49.7%	36.4%		84.0%	42.3%	16.4%	26.0%	32.0%	23.0%		
% of sales	37.0%	43.4%	45.4%		46.5%	45.2%	44.6%	45.3%	44.2%	44.2%		
Operating Profit	338	170	736		35	209	163	329	335	221		
yoy	-38.0%	-49.7%	332.9%		N.M.	646.4%	40.5%	122.3%	857.1%	5.7%		
% of sales	0.4%	0.2%	0.6%		1.5%	8.2%	5.9%	10.6%	10.4%	6.9%		
Adjustment												
Sales	-3,801	-3,960	-5,346		-1,122	-1,410	-1,375	-1,439	-1,503	-1,556		
Gross Profit	-480	-820	-1,381		-264	-450	-333	-334	-425	-370		
Operating Profit	-5,217	-7,630	-9,237		-1,989	-2,294	-2,564	-2,390	-2,220	-2,364		

Exhibit 3: Money Forward: Earnings by business

(mn yen)	CoE			25/11				26/11
3994 Money Forward P/L Statement	24/11	25/11	26/11	Q1	Q2	Q3	Q4	Q1
<P/L>								
Net sales	40,364	50,350	53,400~57,550	11,707	11,530	12,069	15,044	14,670
yoy	32.9%	24.7%	6.1%~14.2%	22.7%	11.7%	23.0%	40.7%	25.3%
qoq	32.9%	24.7%	6.1%~14.2%	9.5%	-1.5%	4.7%	24.7%	-2.5%
Operating expenses	45,099	53,003		12,288	12,543	12,455	15,718	14,502
yoy	22.9%	17.5%		16.6%	12.4%	15.1%	24.9%	18.0%
% of sales	111.7%	105.3%		105.0%	108.8%	103.2%	104.5%	98.9%
Salaries	22,451	26,007		6,229	6,362	6,568	6,848	6,653
yoy	28.5%	15.8%		19.5%	20.2%	15.4%	9.6%	6.8%
Advertising cost	6,613	6,930		1,659	1,843	1,469	1,959	1,428
yoy	16.7%	4.8%		2.7%	9.0%	-2.4%	8.8%	-13.9%
Outsourcing cost	5,825	6,383		1,495	1,478	1,509	1,901	1,874
yoy	11.3%	9.6%		11.4%	5.0%	-0.3%	21.7%	25.4%
Other	10,210	13,683		2,905	2,860	2,909	5,010	4,547
yoy	22.5%	34.0%		22.8%	3.4%	38.1%	68.4%	56.5%
Operating income	-4,735	-2,653	-2,500~500	-581	-1,012	-387	-674	168
yoy	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.
% of sales	-11.7%	-5.3%	-4.7%~0.9%	-5.0%	-8.8%	-3.2%	-4.5%	1.1%
EBITDA	1,728	4,782		1,110	704	1,441	1,527	2,792
yoy	N.M.	176.7%		109.4%	29.9%	249.8%	525.8%	151.5%
% of sales	4.3%	9.5%		9.5%	6.1%	11.9%	10.2%	19.0%
EBITDA (Adjusting HIRAC FUND)				564	849	1,390	1,354	2,792
EBITDA(excl. advertising)	8,340	11,711		2,768	2,548	2,910	3,485	4,220
yoy	144.7%	40.4%		29.0%	14.1%	51.8%	70.5%	52.5%
% of sales	20.7%	23.3%		23.6%	22.1%	24.1%	23.2%	28.8%
Adjusted EBITDA	1,865	4,963	8,000~10,000	1,189	706	1,442	1,625	2,815
yoy		166.1%	61.2%~101.5%	124.8%	30.3%	248.3%	327.6%	136.8%
% of sales	4.6%	9.9%	15.0%~17.4%	10.2%	6.1%	11.9%	10.8%	19.2%
<Sales By main services>								
I Business	27,031	36,051	44,850~47,050	7,806	8,369	8,740	11,135	12,375
yoy	33.5%	33.4%	24.4%~30.5%	21.2%	28.3%	31.4%	50.1%	58.5%
qoq	33.5%	33.4%	24.4%~30.5%	5.2%	7.2%	4.4%	27.4%	11.1%
% of sales	67.0%	71.6%	81.8%~84.0%	66.7%	72.6%	72.4%	74.0%	84.4%
Recurring revenues(sole proprietor)	2,238	2,598		619	669	653	657	743
yoy	40.4%	16.1%		20.7%	17.0%	14.4%	12.9%	20.0%
qoq	40.4%	16.1%		6.4%	8.1%	-2.4%	0.6%	13.1%
% of sales	5.5%	5.2%		5.3%	5.8%	5.4%	4.4%	5.1%
Recurring revenues(corporates)	20,406	27,479		6,076	6,619	7,073	7,711	8,304
yoy	38.3%	34.7%		30.4%	33.7%	36.2%	37.7%	36.7%
qoq	38.3%	34.7%		8.5%	8.9%	6.9%	9.0%	7.7%
% of sales	50.6%	54.6%		51.9%	57.4%	58.6%	51.3%	56.6%
Non-recurring revenues	4,386	5,973		1,110	1,081	1,014	2,768	3,329
yoy	12.5%	36.2%		-12.4%	8.1%	14.4%	124.5%	199.9%
% of sales	10.9%	11.9%		9.5%	9.4%	8.4%	18.4%	22.7%
II SaaS Marketing	4,982	4,740		1,242	1,262	1,272	964	
yoy	41.1%	-4.9%		7.3%	-2.1%	1.7%	-25.0%	
% of sales	12.3%	9.4%		10.6%	10.9%	10.5%	6.4%	
III Home	4,727	4,738	5,100~5,400	1,204	1,149	1,091	1,294	1,257
yoy	18.5%	0.2%	7.6%~14.0%	10.6%	-4.6%	-6.5%	2.1%	4.4%
qoq	18.5%	0.2%	7.6%~14.0%	-5.0%	-4.6%	-5.0%	18.6%	-2.9%
% of sales	11.7%	9.4%	9.4%~9.6%	10.3%	10.0%	9.0%	8.6%	8.6%
IV X	2,855	3,139	3,450~3,600	689	717	800	934	934
yoy	13.1%	9.9%	9.9%~14.7%	4.4%	-2.6%	8.3%	29.9%	35.6%
qoq	13.1%	9.9%	9.9%~14.7%	-4.2%	4.1%	11.6%	16.8%	0.0%
% of sales	7.1%	6.2%	6.3%~6.5%	5.9%	6.2%	6.6%	6.2%	6.4%
V Finance	766	1,550	0~1,500	753	1	139	657	1
yoy	1463.3%	102.3%	~-3.2%	280.3%	-99.8%	139x	657x	-99.9%
% of sales	1.9%	3.1%	0%~2.6%	6.4%	0.0%	1.2%	4.4%	0.0%
VI Other	3	132	0	13	32	27	60	103